

Rayonier RYN

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by

[kevin155](#)

2003 2004

Price:	39.00	EPS		
Shares Out. (in M):	0	P/E		
Market Cap (in \$M):	2,000	P/FCF		
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	0	TEV/EBIT		

Description

I believe Rayonier (NYSE: RYN) presents an attractive risk/reward investment. This is a \$2bn mkt cap asset-rich company with substantial downside protection, a near-term catalyst that drives a 20-30% total return, and potentially much greater returns over a longer horizon.

This is not a micro-cap, absurdly cheap, 2x potential return idea often found on this site, but rather a reasonably liquid, special situation/catalyst-driven idea with adequate upside and far less risk (size positions accordingly). RYN should be particularly attractive to those who think that stock market valuations are a bit rich and are looking for investments with defensive characteristics (Jeremy Grantham fans take note).

Full disclosure: I currently have a long position in RYN.

BUSINESS DESCRIPTION:

RYN is a forest products company that a) owns 1.8m acres of timber land (plus long-term leases on 0.3m acres) and b) owns two performance fiber mills.

Owned timber land:

1,397k acres in the Southeast US

375k acres in the Northwest US

77k acres in New Zealand

In addition, it has long-term leases (with rights to grow and harvest timber) on:

260k acres in the Southeast US

42k acres in New Zealand

RYN grows and harvests timber on these lands and sells to lumber and pulp mills. I believe timber lands are attractive, defensive assets that historically have shown steady price appreciation due to their scarcity and regenerative nature. Since 1987, returns on managed timber assets (income plus capital appreciation) have averaged 15% per year. For more thoughts on timberland returns, here's a couple links:

<http://www.ncreif.com/indices/timberland.phtml?type=total>

<http://www.smartmoney.com/barrons/index.cfm?story=20031103>

The performance fibers division consists of two product lines:

a) Cellulose specialties – these can be broadly described as specialty chemicals made with wood/pulp feedstocks. End uses vary, but include textiles, packaging, plastics, cigarette filters. Cellulose specialties are pretty high value-added products with pretty stable selling prices (\$850-950/ton over a cycle).

b) Absorbent materials – this are “fluff” fibers used for diapers, feminine hygiene products, etc. Absorbent materials are more of a commodity vs the cellulose specialties and thus have more cyclical characteristics (\$525-700/ton).

In addition, RYN has a MDF facility and log-trading operations, but since these operations are small relative to the overall company and operate at a small loss, I will ignore them for this write-up.

ASSET VALUE / DOWNSIDE PROTECTION

I believe a “break-up” analysis supports a share price of \$45. I do not expect this to happen, and is not the basis of the investment thesis, but am showing this to illustrate the asset value and downside protection inherent in this investment. Per/acre prices are based on transaction comps for timber land purchases from 1990-2003.

Southeast US timberlands (1.397m acres @ \$1,000) = \$1,397 mm

Northeast US timberlands (0.375m acres @ \$1,600) = \$600 mm

New Zealand timberlands (0.077m acres @ \$1,000) = \$77 mm

Leased timberlands (0.302m acres @ \$200) = \$60 mm

Higher and better use land (266 acres @ \$500) = \$133 mm

Specialty pulp mills (avg cycle EBITDA of \$80m x 6x) = \$480 mm

Total Asset Value = \$2,747 mm

Less: net debt (\$534)

Equity Value = \$2,213 = \$45 per share

REIT CONVERSION

The value creating catalyst was the August announcement that they are converting to a REIT. The conversion is expected to be completed by 1/1/04. In connection with the conversion, the company is disgorging its cumulative earnings and profits of \$305m in a special dividend to be paid on 12/19. Pro forma for this distribution, the company will have 48.9m shares outstanding.

The REIT structure is a highly efficient structure for the company as it will reduce their corporate tax rate from the high 20% to close to 5% by my estimate. The company is converting into a REIT structure and placing its non-qualifying manufacturing assets into a taxable REIT subsidiary (TRS). Based on some assumptions of how they allocate the interest and corporate expenses to the taxable and non-taxable entities, I derive a roughly 5% effective tax rate for the combined entity.

The company has indicated that the estimated first year dividend is \$110, or \$2.25 per share. At its current price, the implied yield is 6%, in-line with where REITs generally yield in today's market. However, RYN should trade at a tighter yield than property REITs given the tax-efficiency of dividends from timber REITs vs property REITs. There is only one publicly traded timber REIT currently – Plumb Creek Timber (NYSE: PCL). PCL currently trades at \$29 and has an indicated dividend \$1.40, or a 4.8% yield.

Dividends from property REITs did not get any relief from recent changes in dividend taxation and thus are taxed at ordinary income (35% rate). However, timber REIT dividends are more tax efficient as cash generated from harvest of timberlands are treated as capital gains (15% rate) and distributions in excess of earnings are treated as a return of basis (no current taxation, but reduce basis when stock is eventually sold). I expect that 50% of the dividend will be treated as capital gains and 50% will be treated as a return of basis, so the effective tax rate on RYN's dividend will be about 8%. By comparison, the effective tax rate on PCL's dividend is about 12% (80% capital gains, 20% return of capital). So although timber REITs trade "tighter" than property REITs on a pre-tax basis, their after-tax yields are roughly equivalent.

P-tax Yield	Tax Rate	A-tax Yield
"Typical" Prop. REIT	6.0%	35% 3.9%
PCL	4.8%	12% 4.2%

TARGET PRICE

Assuming RYN will demand a yield premium given PCL's longer history as a REIT and its larger market cap, I use a 5.0% pre-tax yield (4.6% after-tax), to get to a target price of \$45 (\$2.25 / 5%).

If you assume RYN trades to the same 4.2% after-tax yield as PCL, RYN would yield 4.5% on a pre-tax basis, and the price target would be \$50.

Adding in a 6% dividend yield results in a total return of 22-35%, depending on where RYN trades compared to PCL.

One reason why I think RYN's yield should converge with PCL's is the different ownership bases that companies currently have. Given the tax-efficient dividends, timber REITs are particularly attractive for taxable retail investors. PCL's ownership is 56% retail. RYN's ownership today is only 16% retail.

UPSIDE (LONGER TERM)

I believe RYN management team has set the initial dividend yield at a conservative level and would expect it to increase over time.

Looking at historical cash flows, the company more than covers its indicated dividend level of \$110m.

2000	2001	2002	LTM	9/03
Operating CF	\$287	\$231	\$253	\$222
Maint CapEx	\$66	\$61	\$66	\$63
Free Cash Flow	\$221	\$170	\$187	\$158
+est REIT tax savings	\$26	\$21	\$10	\$7
Pro Forma FCF	\$246	\$191	\$197	\$165
Dividend cover (\$110m)	2.2x	1.7x	1.8x	1.5x

Recent operations have been depressed (note decreasing FCF and dividend coverage ratios). However, I believe these issues are cyclical and "normalized" annual cash flows are north of \$200m per year, implying a roughly 2x dividend coverage.

The cellulose specialties business generated about \$35m in EBIT in 2002, far below peak levels (\$103m in 1995 and \$83m in 2000) and below the 1991-2002 average EBIT of \$49m. Near-term prospects for this business look reasonably positive as Int'l Paper closed a competing mill during the summer and the company should see improved pricing in 2004 as contracts are re-priced.

In addition, timber prices are currently being impacted by weak timber prices – partly due to a on-going trade dispute that has resulting in excess lumber supply coming

from Canada. Thus, the last couple years of earnings from timber harvests are also below long-term averages (2000 appears to be close to an average year).

I believe management has intentionally set the initial dividend level low as it wants to increase it over time, and wants to make sure it is at a sustainable level even in poor environments (as we're seeing today). Note that PCL was forced to cut its dividend in mid-2002 due to the weak environment and RYN management seems to have learned this lesson.

Assuming an improving environment and/or greater comfort level from management, it is quite possible to see the dividend increasing to \$2.70 over the next two years. At a \$2.70 dividend the company would still have >1.5x dividend coverage based on normalized earnings. Assuming a 5% pre-tax yield results in a target price of \$54. Adding in 6% annualized dividends results in a 51% total return or 23% annualized returns over two years.

Catalyst

Completion of REIT conversion 1/1/04, convergence of dividend yield to PCL, dividend increases (longer-term)

Messages

Subject	Thanks !
Entry	12/18/2003 06:00 PM
Member	round291
I enjoyed your write-up and think the notion of a convergence in yields makes a fair amount of sense. After all, both companies are price takers who sell similar products into commodity markets. Additionally, there is every reason to believe that Rayonier stock will be sold, like Plum Creek, into the yield hungry retail channel (hey!...that's me).	
Perhaps you can offer your feedback on the following:	
1) Share price appreciation has been significant this year. Is all the good news in the stock at current such that we are really buying future values?	
2) Can you offer more detail on the timber assets themselves. From my paper company days, I recall different species of timber (hardwood vs softwood) drawing different prices and being sold into different customers. What's the mix by species and maturity? Also, is the stuff easy to get to and cut or is there some significant requirement for capital for roads and the like? Since your thesis is driven by a comparison to Plum Creek, perhaps you can shed your light in the context of this comparison.	
3) Does your closer assessment of the timber asset (age, species, cost to harvest) produce a tighter range of asset values? Is that new range higher/lower than what you originally suggested?	
4) Can you provide more detail on the factors that impact domestic timber prices? What's going on with customer? The competitive situation (integrated timberland ownership, other timber asset managers, imports, market balance at current etc).	
5) I'd guess the company rationalizes owning a medium density fiberboard facility and "specialty cellulose" operations (ie pulp mills) on the basis of utilizing waste from saw mill operations (by the way, I don't recall you mentioning saw mills...don't they own some?). These operations, however, are quite capital intensive relative to farming timber. Any hope that these things get divested soon?	

I remember seeing some work done by a professional timber investor/asset manager that demonstrated timberlands to be great inflation hedges. As inflation doesn't seem to be much of an issue at current, timber prices are weak, the gap between your timberland value swag and current share price isn't all that juicy, and many of the institutions who bought Rayonier prior to the REIT conversion are likely to still be in the stock (just a presumption), isn't reasonable to sit back and wait for better prices?

The idea sounds on its face like a base hit as you suggest. I'm certainly interested enough to do some work, put a number on it, and wait for a bit.

Thanks!

Subject	Rayonier
Entry	12/18/2003 07:02 PM
Member	moab840
Very good write-up. I've owned RYN for a couple years and know the company well. While I still like the idea, my return expectations from here are lower than yours.	

First, I think the bulk of the benefit of the REIT conversion is already in the stock. It has appreciated almost 35% since the announcement. Second, I think the convergence with Plum Creek is more likely to result from PCL getting cheaper. My valuation work on PCL is not that fresh, but I would guess that an asset valuation similar to the one you detailed for RYN would show that PCL is over-valued at its current price of ~\$30.

There are several things that could go right and improve returns (resolution to the Canadian lumber issue, continued weak dollar, identification of additional HBU lands, dividend increase next year, significantly higher cellulose specialty prices as a result of the IP mill closure). However, in the absence of these things, my "base case" expectations are for 10%-type returns from here.

Subject	Concerns
Entry	12/18/2003 10:03 PM
Member	gary9
Nice writeup. Questions:	

How do you expect the fibers business to do if oil/gas prices stay so high?

Hasn't timber acreage appreciated too much over the the last few years as folks foolishly speculate on alternative land use during a housing bubble? Isn't a ton of timber coming to market (BCC, WY, etc) potentially depressing values?

Won't RYN always trade at a discount to PCL due to size, quality of management, and the TSR?

Those are the concerns which led me to sell the stock recently after I got the big dividend.

Subject	Responses
Entry	12/22/2003 01:31 PM
Member	kevin155

1) Recent price performance / valuation

I don't disagree that the stock has had a nice run since the REIT conversion announcement, but I believe it is still interesting at these levels. I believe that the minimal downside (6% stated pre-tax dividend yield, asset protection and >10% yield on normalized FCF) coupled with adequate valuation upside from the REIT conversion dynamic means that the situation is still interesting. RYN was extremely cheap before the REIT conversion was announced, but is still cheap today.

A bit more on the >10% yield on normalized (e.g. average cycle) free cash flow, as I didn't talk about that much in my write-up: I estimate the normalized free cash flow to be >\$200m/year. I derive this estimate from looking at historical prices/margins for the last 10-15 years for both the specialty pulp and timber businesses. As with any normalized earnings analysis, it's admittedly part art and part science, but since there are macro reasons that support the fact that current cash flows are below normalized levels, I feel comfortable in saying that current cash flows are well below what the company generates through a cycle. Thus, I am confident that the current indicated dividend has plenty of upside over the next few years (not the next couple quarters).

I am also putting a decent amount of weight on the fact that PCL as a REIT will attract a after-tax yield-seeking individual investor base and this in of itself will drive shareholder interest appreciation as awareness of PCL grows.

As a sidenote, the well-received AFR idea posted on this site is predicated on an increasing dividend dividend thesis. While I think AFR is interesting as well, I would point out that with RYN, while you get the dividend increases much more slowly, you get the benefit from the transition to a new shareholder base and an attractive tax treatment of the dividend while you wait.

2) Timber assets / valuation

The bulk of RYN's timberlands are in the Southeast US and are comprised of mainly pine varieties. About half of the harvest from the Southeast goes into lumber mills, with the rest going to pulp/paper.

The Northwest lands are primarily softwoods (about 70% hemlock and the rest Doug Fir, spruce and cedar).

The transaction comp data that I have does not show transaction prices by species, so unfortunately I am not able to hone my asset value analysis more than I have provided. However, the data that I have does not suggest bubble-like price appreciation for timberlands coincident with the housing cycle.

While housing has increased demand for lumber and has potentially created some incremental demand for HBU land, I believe the negative macro dynamics of weak pulp prices and the US/Canada trade dispute have offset benefits from the housing cycle. Further, the data that I have seen for timber sales prices (not to be confused with timber land sales prices) shows that recent (2001-2003) prices are similar to prices in the late 80s/early 90s and well below below prices achieved in the mid-90s (last bull market for pulp and before the current US/Canada trade disputes).

Thus, I do not believe that timber nor timber lands are currently at inflated values relative to history.

3) Other general thoughts

I am not admittedly not a forest products expert, so if anyone has additional insights into the market for timber/timberlands I would appreciate them. My assessment of RYN is based on the pricing/industry data that I have analyzed for the timberland asset class.

If you think the stocks are cheap going into 2004 and we're in a new bull market, this isn't the right investment for you. I personally think that the market is pretty fully valued, and think this is a pretty good defensive holding as this company holds real timber assets that are negatively correlated to stocks.

Subject	Rayonier real estate
Entry	05/19/2005 04:29 PM
Member	moab840

Kevin -

Are you still following RYN? At its investor conference last week in Jacksonville, the company for the first time disclosed the locations and potential values of some of its HBU lands. No one seems to have noticed yet. Unlike JOE and nearly every other company with excess real estate, RYN appears to be undervalued.

My back of the envelope: For just the three parcels that they gave land values (72,000 acres), and assuming 70% of this land can be developed, the implied values are \$9 per share un-entitled and \$25 per share entitled (note: land is not yet entitled). While these numbers would have to be discounted for various reasons, this represents only about a third of RYN's HBU land.

Thoughts?

Subject	RYAM Spin Looks Great Here
Entry	08/12/2014 12:42 PM
Member	cuyler1903

Someone needs to write this up - figure it's only a matter of time. Here are highlights as I see them.

* Stock came out trading in high 30s, then up to 44.

* Company, in 1st quarter reporting, cut 2014 EBITDA guidance by 25% - the circumstances and language here looked like a huge sandbag, almost a discretionary decision by management.

* I don't believe management options have been issued yet. Call me a cynic.

* Forced selling by Rayonier holders, coupled with huge guidance cut took stock from 44 to 33.50 currently.

* Current guide, post o/h, is to \$265mm of EBITDA which is 7.9x

* 2015 EBITDA, normalized for the return of the 25% and the \$12-14mm lost in 2014 due to the accelerated "outage" takes normalized EBITDA to \$374mm

* 9 x 374mm EBITDA is \$57/sh, up from \$33.50, reasonable for a specialty chem co

Other tidbits:

* Abrams Capital just disclosed 5% stake - very smart guys who crushed it on Engility, a VIC favorite

* CEO of Rayonier decided to go with Spinco RYAM, a very bullish sign

* A director just bot \$150k worth of stock in open market at \$33.50 on Aug 1

* Planning to initiate dividend, will bring in large new class of buyers

* Planning to use substantial FCF to retire debt

Anyone else following?

Cuyler

Subject	RE: RYAM Spin Looks Great Here
Entry	08/12/2014 01:45 PM
Member	nathanj

I have two issues with RYAM:

1. 58% of their rev is tied to cigarette volume, which is in secular decline. Cigarette makers may be able to offset this volume decline with price increase and alternative vapor products. RYAM has no pricing power and probably gets squeezed by the cigaretter makers every year.

2. Valuation: Georgia Pacific bought Buckeye for 8x EBITDA back in Apr 2013.

Subject	RE: RE: RYAM Spin Looks Great Here
Entry	08/12/2014 02:08 PM
Member	cuyler1903

Cig volumes globally are flat to up low single digits. Agree it is not a big growing industry.

CapIQ says GP paid 8.6x EBITDA for Buckeye.

Cuyler

Subject	RE: RE: RE: RYAM Spin Looks Great Here
Entry	08/12/2014 02:30 PM
Member	cnm3d

it's all about where cellulose chemical prices are headed. great setup... but it's a completely opaque market. couldn't get handle on it (didn't try super super hard though). if they do what they did in 2011/2012, it's a buy. if they keep doing what they did last fall... watch out below.

Subject	RE: RE: RE: RE: RYAM Spin Looks Great Here
Entry	08/12/2014 02:50 PM
Member	cuyler1903

My take in reading the Form 10 and latest conf call is that CEO is doing his best to make EBITDA as low as it can possibly be in 2014. This seems pretty straight out of the spinoff bag of tricks handbook for CEOs. We shall see. I like that the stock has already puked 25% and that we have a smart investor next to us now in Abrams.

Cuyler

Subject	RE: RE: RE: RE: RE: RYAM Spin Looks Great Here
Entry	08/12/2014 03:07 PM
Member	aa123

Does someone understand the dynamics that led to cellulose specialties prices to go from around \$1,000 in 2006 to \$1,768 in Q2 2014? I am trying to get a call with management to get answers because I agree that's it's all the pricing. On the call, the CEO talks about cost reductions - anything meaningful beyond the one-time costs they describe on the call? Thanks.

Subject	RE: RE: RE: RE: RE: RE: RYAM Spin Looks Great Here
Entry	08/15/2014 11:25 AM
Member	MJS27

w/ vol blowing out selling the Feb '15 30 puts looks attractive...

at \$2/contract if the stock gets put to you you own it at ~\$28 - seems like a very healthy margin of safety for a stock that isn't hard to get to the mid \$50s as cuyler pointed out.

if it doesn't get put to you, you get 6.6% on the purchase price over 6 months. ~13% annualized... not bad in this environment if you're holding alot of cash.